

dividends is similar to the conflict between children and their parents over trust funds. The children prefer a quick distribution, and the parents prefer to control the money for the children's greater benefit.

One strong argument in favor of companies that pay dividends is that companies that don't pay dividends have a sorry history of blowing the money on a string of stupid diworseifications. I've seen this happen enough times to begin to believe in the bladder theory of corporate finance, as propounded by Hugh Liedtke of Pennzoil: The more cash that builds up in the treasury, the greater the pressure to piss it away. Liedtke's first claim to fame was building a small oil company, Pennzoil, into a strong competitor. His second claim to fame was beating Texaco (the Goliath) out of \$3 billion in a court battle that everyone said Pennzoil (the David) would lose.

(The period of the late 1960s discussed earlier ought to be remembered as the Bladder Years. Still today, there is a propensity among corporate managers to piss away profits on ill-fated ventures—but much less than twenty years ago.)

Another argument in favor of dividend-paying stocks is that the presence of the dividend can keep the stock price from falling as far as it would if there were no dividend. In the wipeout of 1987, the high-dividend payers fared better than the nondividend payers and suffered less than half the decline of the general market. This is one reason I like to keep some stalwarts and even slow growers in my portfolio. When a stock sells for \$20, a \$2 per share dividend results in a 10 percent yield, but drop the stock price to \$10, and suddenly you've got a 20 percent yield. If investors are sure that the high yield will hold up, they'll buy the stock just for that. This will put a floor under the stock price. Blue chips with long records of paying and raising dividends are the stocks people flock to in any sort of crisis.

Then again, the smaller companies that don't pay dividends are likely to grow much faster because of it. They're plowing the money into expansion. The reason that companies issue stock in the first place is so they can finance their expansion without having to burden themselves with debt from the bank. I'll take an aggressive grower over a stodgy old dividend-payer any day.

Electric utilities and telephone utilities are the major dividend-payers. In periods of slow growth they don't need to build plants or expand their equipment, and the cash piles up. In periods of fast growth the dividends are lures to attract the enormous amounts of capital that plant construction requires.

Consolidated Edison has discovered it can buy extra power from Canada, so why should it waste money on expensive new generators and all the expense of getting them approved and constructed? Because it has no major expenses these days, Con Ed is amassing hundreds of millions in cash, buying back stock in above-average fashion, and continually raising the dividend.